

Notes: Shu (JFE, 2024)

The Proxy Advisory Industry: Influencing and Being Influenced

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1 Big picture

- **Question.** How concentrated is the proxy advisory industry, how much do proxy advisors influence mutual fund voting, and do proxy advisors themselves adapt to investors' revealed preferences?
- **Core data obstacle.** Researchers usually observe mutual fund votes, but do not observe which proxy advisor each fund uses. The paper's main contribution is to infer proxy advisor relationships from regulatory filings.
- **Two inference methods.** The paper links funds to proxy advisors using: (i) the format of N-PX voting disclosures, which reveals the voting platform that prepares the filing; and (ii) fund statutory prospectuses, which often disclose contractual relationships with proxy advisors.
- **Market structure.** As of 2021, ISS and Glass Lewis collectively dominate the U.S. mutual fund proxy advice market. ISS remains large and stable, while Glass Lewis grows substantially over the sample.
- **Vote influence.** When a proxy advisor opposes management, the advisor's customers are much more likely than other investors to also oppose management. The estimated customer effect is about 20 percentage points for ISS and about 11 percentage points for Glass Lewis in the broad specification.
- **Voting platform channel.** Among funds that subscribe to both ISS and Glass Lewis, actual votes line up more closely with the proxy advisor whose voting platform the fund uses. This suggests that platform design and vote pre-population may matter, not only the source of advice.
- **Switching evidence.** Funds that switch voting platforms change their voting patterns in the direction of the newly used platform. This is not a causal design, but it reinforces the platform-channel interpretation.
- **Robo-voting.** The prevalence of near-mechanical voting with proxy advisors rises between 2007 and 2021. Robo-voters are more common among smaller fund families, index fund families, and funds that use the advisor's own voting system.
- **Reverse influence.** Proxy advisors are more likely to change recommendations when investors previously disagreed with their advice. This effect is stronger for disagreement by their own customers, by larger funds, by blockholders, and by investors with strong ideological preferences.
- **Main takeaway.** Proxy advisors influence shareholder votes, but they are also influenced by investor votes. The industry is therefore best understood as a concentrated information-intermediation and coordination market with feedback from institutional investors.

2 Data and measurement

2.1 Mutual fund voting data

- Since 2003, mutual funds have had to disclose complete voting records annually on SEC Form N-PX.
- The paper collects N-PX forms directly from SEC EDGAR.
- Each N-PX filing is linked to the ISS Voting Analytics database using EDGAR accession numbers.
- ISS Voting Analytics provides proposal-level votes, proposal outcomes, and ISS recommendations.
- Accession numbers are available beginning in 2007, so the sample is 2007-2021.
- The paper excludes procedural matters, meeting adjournments, auditor ratifications, and say-on-pay frequency votes.
- The final vote sample contains about 140 million votes from 23,264 mutual funds.

Interpretation: The voting sample is extremely large, but its usefulness depends on identifying each fund’s advisor relationship. The paper’s contribution is to create that missing link.

2.2 Glass Lewis recommendations

- Glass Lewis recommendations are not publicly available in standard databases.
- The author obtains Glass Lewis recommendations for 2008-2021 through a Public Records Law request to a large public pension fund.
- Because both ISS and Glass Lewis recommendations are observed, the paper can compare votes when the two advisors disagree.

Interpretation: Observing both ISS and Glass Lewis recommendations is crucial. It lets the paper study whether funds using one advisor’s platform vote differently from funds using the other advisor’s platform on the exact same proposals.

2.3 Inferring voting platforms from N-PX formats

- N-PX filers historically had discretion over how to format tables and describe proposals.
- Most funds do not prepare the filing themselves. They delegate voting execution and reporting to voting platform providers.
- Different platforms leave different fingerprints in the filing layout.
- The paper identifies four common N-PX formats:
 - Type A.1 and Type A.2: ISS ProxyExchange formats.
 - Type B: Glass Lewis Viewpoint format.
 - Type C: Broadridge ProxyEdge format.
- This method identifies the voting platform used by each fund family.

Interpretation: The platform method is powerful because it uses the filing’s visible structure as a signature of the service provider. Its limitation is that it detects the platform used to execute/report votes, not every advisor from which the fund purchases advice.

2.4 Inferring contractual relationships from statutory prospectuses

- Mutual funds also file statutory prospectuses, including annual updates on Forms 485APOS and 485BPOS.
- These prospectuses often disclose proxy voting policies and contractual relationships with proxy advisors.
- The paper searches prospectuses for variations of ISS, Glass Lewis, and Egan-Jones.
- This method classifies funds as using ISS only, Glass Lewis only, Egan-Jones only, multiple advisors, or none.

Interpretation: Prospectuses are better for detecting subscriptions to multiple advisors. But they can miss relationships that are not disclosed clearly or where the fund states only that a third party may be used.

2.5 Comparing the two methods

- The N-PX method reveals voting platform choice.
- The prospectus method reveals contractual relationships.
- The two methods are highly related but not identical.
- A fund with a contractual relationship with ISS is much more likely to use ISS ProxyExchange; a fund mentioning Glass Lewis is much more likely to use Glass Lewis Viewpoint.
- However, a fund can subscribe to both ISS and Glass Lewis while using only one platform to execute votes.

Interpretation: The difference between advice subscription and voting platform is central. The paper can separately study the role of advice and the role of the execution interface.

2.6 Other data sources

- Thomson Reuters s12 provides mutual fund portfolio holdings.
- WRDS MFLINKS connects holdings data to the main mutual fund dataset.
- Bolton et al. investor ideology scores provide measures of investor preferences.
- Proposal types are manually categorized because ISS Voting Analytics contains classification inconsistencies.
- Director-election analyses mostly focus on uncontested elections because ISS Voting Analytics excludes many proxy contest details.

Interpretation: The paper combines regulatory filings, commercial vote data, manually categorized proposals, portfolio holdings, and ideology data to study both industry structure and feedback from investor votes to proxy advisor advice.

3 Empirical specifications and interpretation

3.1 Specification 1: Do customers of a proxy advisor vote differently?

For proxy advisor $PA \in \{ISS, GL\}$, the baseline vote-alignment regression is

$$AgreeWithPA_{i,p} = \beta_1 PACustomer_i + \gamma' Z_i + a_p + \varepsilon_{i,p}. \quad (1)$$

- i denotes a fund family.
- p denotes a proposal.
- $AgreeWithPA_{i,p}$ equals one if fund family i votes in the same direction as proxy advisor PA on proposal p .
- $PACustomer_i$ equals one if the fund family is a customer of the proxy advisor, as inferred from the prospectus.
- a_p are proposal fixed effects.
- Z_i includes fund-family characteristics.

Interpretation: Proposal fixed effects compare funds voting on the exact same proposal. This controls for proposal fundamentals and asks whether customers of an advisor vote differently from non-customers on the same item.

3.2 Specification 2: Do voting platform switches change vote agreement?

For fund-family-year observations, the switching regression is

$$\%AgreeWithPA_{i,t} = \beta_0 + \beta_1 Switch_i \times Post_{i,t} + \gamma' Z_{i,t} + a_i + a_t + \varepsilon_{i,t}. \quad (2)$$

- $\%AgreeWithPA_{i,t}$ is the share of votes by fund i in year t that align with a given advisor's recommendations.
- $Switch_i$ indicates that the fund changed from one proxy advisor platform to the other.
- $Post_{i,t}$ indicates years after the switch.
- The regression includes fund family and year fixed effects.
- The sample focuses on proposals where the advisor opposes management, because agreement is otherwise mechanically high.

Interpretation: This is not a randomized design, but it tests whether voting behavior changes in the direction predicted by platform use after a fund switches systems.

3.3 Specification 3: Do advisors change specific recommendations after investor disagreement?

For recurring proposals or recurring directors, the paper estimates

$$|Advice_{p,t} - Advice_{p,t-s}| = \beta_1 InvestorDisagreement_{p,t-s} + \varepsilon_{p,t}. \quad (3)$$

- The dependent variable equals one if the proxy advisor changes its recommendation on the same company-proposal pair between its current occurrence and its prior occurrence.
- $InvestorDisagreement_{p,t-s}$ is the fraction of mutual fund votes that differed from the advisor's prior recommendation.
- Director elections are linked by director names.
- Other proposals are linked through manual issue descriptions.
- Regressions include firm-by-issue fixed effects and year fixed effects where appropriate.

Interpretation: This regression asks whether proxy advisors learn from or respond to investors' revealed disagreement. A positive coefficient means that dissent today predicts a future change in advice.

3.4 Specification 4: Do advisors change broad guidelines after issue-level disagreement?

At the issue-year level, the paper estimates

$$|\%PAFor_{j,t} - \%PAFor_{j,t-1}| = \beta_1 InvestorDisagreement_{j,t-1} + \varepsilon_{j,t}. \quad (4)$$

- j denotes a broad issue such as board declassification or climate-related governance.
- The dependent variable is the absolute change in the share of proposals on issue j that the proxy advisor supports.
- The independent variable is investor disagreement with prior advice aggregated at the issue level.
- The issue-level analysis excludes director elections and say-on-pay because aggregation is less meaningful there.

Interpretation: Issue-level responses are closer to policy or guideline changes. If proxy advisors cater to investor preferences, disagreement at the broad issue level should predict changes in overall support for that issue.

4 Identification and empirical design

4.1 What the paper can identify well

- The proposal fixed effects in Equation (1) compare investors voting on the same proposal.
- This removes proposal-level fundamentals that could otherwise explain why both investors and advisors oppose management.
- The both-advisor sample compares investors with access to both ISS and Glass Lewis advice, but different voting platforms.
- The switching tests compare fund families before and after a platform switch.
- The recommendation-change tests ask whether past disagreement predicts future changes in advice.

Interpretation: The paper is strongest when it uses within-proposal comparisons or within-fund switching patterns. These designs isolate variation in advisor relationships and platform use more cleanly than cross-sectional comparisons alone.

4.2 Main limitations

- Subscription to a proxy advisor is not randomly assigned.
- Platform use is not randomly assigned.
- Platform switches are endogenous and may coincide with changing preferences.
- Prospectus disclosures may omit or ambiguously describe advisor relationships.
- N-PX formats reveal voting platforms, but not necessarily every source of voting advice.
- The Glass Lewis recommendation sample starts in 2008, while ISS data are available from 2007.

Interpretation: The paper does not claim a clean causal experiment for every result. Its contribution is to build a new link between funds and advisors, then use multiple complementary patterns to characterize influence and feedback.

5 Tables and figures

This section keeps the same *Read* plus *Economic message* format, but places adjacent visuals together to save space and improve comparison speed.

5.1 Figures 1 and 2: How the paper identifies proxy advisors

Read: Figure 1: N-PX table formats

- The figure shows four common N-PX table formats, all from Apple Inc.’s 2019 annual meeting.
- Type A.1 and Type A.2 match ISS ProxyExchange reporting styles.
- Type B corresponds to Glass Lewis Viewpoint.
- Type C corresponds to Broadridge ProxyEdge.

- Differences in table layout, proposal labels, vote columns, and formatting identify the voting platform.

Read: Figure 2: statutory prospectus examples

- T. Rowe Price's prospectus identifies a contractual relationship with ISS.
- TIAA-CREF's prospectus identifies Glass Lewis.
- BNY Mellon identifies both ISS and Glass Lewis.
- Variant's prospectus only says that a third party may be used, so no specific advisor is identified.

Economic message: The identification strategy is built on institutional details. N-PX formats reveal platform use; prospectuses reveal contractual advisor relationships. The two together allow the paper to study both advice and vote-execution technology.

This figure presents one example for each of the four most commonly used N-PX format types (labeled A.1, A.2, B, and C), all featuring Apple Inc.'s 2019 annual meeting. These N-PX forms are filed by BlackRock, Fidelity, Putnam Investments, and John Hancock Financial, respectively. Formats A.1 and A.2 align with ISS's ProxyExchange reporting style, format B corresponds to Glass Lewis's Viewpoint, and format C is consistent with Broadridge's ProxyEdge. Online Appendix II provides the detailed procedure for linking the four N-PX forms to their corresponding voting platforms.

Type A.1: ISS ProxyExchange®

APPLE, INC.				
Ticker:	APPL	Security ID:	807833100	
Meeting Date:	09/23/2019	Meeting Type:	Annual	
Record Date:	09/02/2019			
1	Proposed	Ag	Rec	Vote Cast
2	Elect Director James Bell	For	For	For
3	Elect Director Tim Cook	For	For	For
4	Elect Director All Share	For	For	For
5	Elect Director All Share	For	For	For
6	Elect Director Andrew Jung	For	For	For
7	Elect Director Tim Leinenweber	For	For	For
8	Elect Director Tim Leinenweber	For	For	For
9	Elect Director Tim Leinenweber	For	For	For
10	Elect Director Tim Leinenweber	For	For	For
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98	Elect Director Tim Leinenweber	For	For	For
99	Elect Director Tim Leinenweber	For	For	For
100	Elect Director Tim Leinenweber	For	For	For

Type B: Glass Lewis Viewpoint®

Ticker	Security ID	Meeting Date	Meeting Status
AAPL	CUSIP 037833100	09/23/2019	Class Voted
Meeting	Country of Trade		
Annual	United States		
Issue No.	Description	Proponent	Mgmt
1	Elect James A. Bell	Mgmt	For
2	Elect Timothy D. Cook	Mgmt	For
3	Elect Albert A. Gore	Mgmt	For
4	Elect Robert A. Harter	Mgmt	For
5	Elect Andrew Jung	Mgmt	For
6	Elect Michael J. Leinenweber	Mgmt	For
7	Elect Ronald D. Sugar	Mgmt	For
8	Elect Susan L. Wagner	Mgmt	For
9	Electation of Director	Mgmt	For
10	Advisory Vote on Executive Compensation	Shareholder	Against
11	Shareholder Proposal Regarding Pay-Outside Director	Shareholder	Against
12	Shareholder Proposal Regarding Pay-Outside Director	Shareholder	Against
13	Shareholder Proposal Regarding Pay-Outside Director	Shareholder	Against
14	Shareholder Proposal Regarding Pay-Outside Director	Shareholder	Against
15	Shareholder Proposal Regarding Pay-Outside Director	Shareholder	Against
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97	Shareholder Proposal Regarding Pay-Outside Director	Shareholder	Against
98	Shareholder Proposal Regarding Pay-Outside Director	Shareholder	Against
99	Shareholder Proposal Regarding Pay-Outside Director	Shareholder	Against
100	Shareholder Proposal Regarding Pay-Outside Director	Shareholder	Against

Type A.2: ISS ProxyExchange®

APPL INC			SECURITY ID: 807833100		
MEETING DATE: 09/23/2019					
Proposal#	Proposal	Proposed By	Management Recommendation	Vote Cast	
1a	Elect Director James Bell	Management	For	For	
1b	Elect Director Tim Cook	Management	For	For	
1c	Elect Director All Share	Management	For	For	
1d	Elect Director Bob Jang	Management	For	For	
1e	Elect Director Andrew Jung	Management	For	For	
1f	Elect Director Tim Leinenweber	Management	For	For	
1g	Elect Director Tim Leinenweber	Management	For	For	
1h	Elect Director Tim Leinenweber	Management	For	For	
1i	Elect Director Sam Vagner	Management	For	For	
2	Reith Ernst & Young LLP as Auditors	Management	For	For	
3	Advisory Vote on Related Name Director's Officers Compensation	Management	For	For	
4	Proxy Access Amendments	Shareholder	Against	Against	
5	Director Board Diversity and Qualifications	Shareholder	Against	Against	

- The multiple-advisor category becomes much larger over time.
- After apportioning multiple-advisor assets, Glass Lewis’s market share rises from about 11% in 2007 to about 37% in 2021.
- ISS remains dominant but its adjusted share declines only modestly, from about 52% to about 49%.

Economic message: The proxy advisory market is highly concentrated, but not static. ISS remains the largest player, but Glass Lewis grows into a large second advisor and multiple-advisor subscriptions become common.

Table 1

Customers of proxy advisors.

(A) Voting Platforms Inferred From N-PX Formats

	ISS platform	Glass Lewis platform	Broadridge platform	Others
2007	6,467 (114)	1,313 (3)	369 (39)	1,400 (12)
2008	5,111 (116)	838 (3)	263 (36)	1,213 (11)
2009	6,730 (124)	1,048 (5)	361 (36)	1,652 (22)
2010	6,577 (117)	1,478 (15)	440 (37)	1,983 (16)
2011	6,062 (104)	1,390 (18)	458 (54)	2,088 (18)
2012	7,252 (99)	1,561 (18)	548 (57)	2,227 (17)
2013	7,977 (92)	1,911 (21)	1,177 (58)	3,017 (15)
2014	9,466 (110)	2,027 (21)	1,367 (70)	3,556 (12)
2015	9,396 (128)	2,217 (30)	1,157 (74)	4,041 (134)
2016	10,041 (129)	2,221 (27)	1,212 (74)	4,492 (114)
2017	10,823 (133)	3,484 (25)	1,326 (75)	5,619 (85)
2018	10,838 (127)	2,558 (20)	1,281 (71)	5,585 (88)
2019	15,856 (128)	1,190 (18)	1,563 (77)	6,606 (87)
2020	24,914 (124)	1,747 (16)	1,818 (78)	678 (68)
2021	29,147 (119)	1,100 (15)	1,999 (73)	597 (40)

(B) Contractual Relationships With Proxy Advisors Inferred From Prospectuses

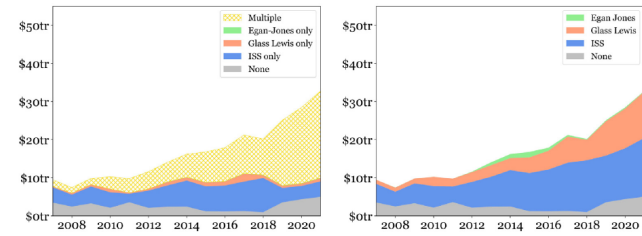
	ISS only	Glass Lewis only	Egan-Jones only	Multiple advisors	None
2007	4,021 (78)	181 (4)	0 (0)	1,788 (27)	3,477 (55)
2008	3,117 (80)	369 (6)	1 (1)	1,464 (26)	2,467 (51)
2009	4,411 (71)	495 (11)	0 (0)	1,589 (34)	3,295 (69)
2010	4,057 (58)	845 (15)	0 (0)	3,227 (46)	2,131 (65)
2011	2,242 (51)	218 (11)	0 (0)	3,719 (62)	3,587 (68)
2012	4,515 (58)	416 (12)	4 (1)	4,519 (56)	2,115 (60)
2013	5,605 (55)	877 (17)	44 (5)	5,123 (43)	2,398 (63)
2014	6,835 (67)	833 (21)	40 (4)	6,049 (57)	2,437 (58)
2015	6,557 (80)	989 (38)	39 (4)	7,975 (88)	1,197 (152)
2016	6,806 (88)	1,046 (38)	41 (4)	8,812 (78)	1,164 (131)
2017	7,761 (81)	2,047 (36)	47 (2)	10,115 (77)	1,243 (114)
2018	8,947 (76)	732 (29)	44 (5)	9,441 (83)	991 (105)
2019	3,767 (84)	580 (26)	56 (6)	17,120 (71)	3,567 (118)
2020	3,495 (83)	583 (22)	56 (5)	19,950 (79)	4,367 (89)
2021	4,028 (74)	843 (24)	64 (5)	22,790 (71)	5,017 (68)

This table presents the number of mutual fund customers associated with different proxy advisors and their aggregated total net assets. Panel A uses each fund’s N-PX filings to infer its voting platforms among ISS ProxyExchange, Glass Lewis Viewpoint, and Broadridge ProxyEdge. The table displays the number of mutual fund families using each of the three voting platforms (indicated in parentheses), along with their aggregated total net assets (shown

(a) Customers and assets by advisor.

This figure presents the evolving concentration in the proxy advisory industry. Panel A displays the aggregated total net assets (TNAs) of mutual fund families, categorizing them based on whether they are customers of different proxy advisors as inferred from their statutory prospectuses. The left figure separates mutual funds by whether they subscribe to a single proxy advisor or multiple advisors. The right figure apportions the TNA of funds with multiple advisors, distributing it equally among the advisors. Panel B displays the relative market share of each proxy advisor, calculated from the aggregate TNA of its mutual fund customers, as shown in Panel A.

(A) Aggregated Total Net Assets



(B) Market Shares

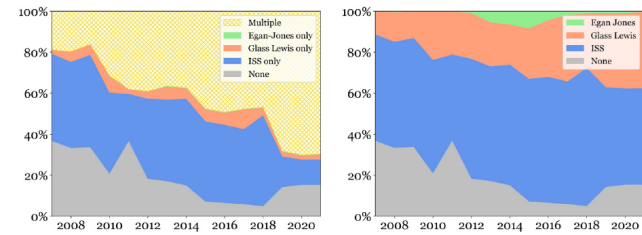


Fig. 3. Concentration in the proxy advisory industry.

customers. To provide some insight into these two proxy advisor votes based on their proxy advisors, as prospectuses. Panel B shows that customers of both

$$\text{Agree with PA}_p = \beta_1 \cdot \text{PA Customer}_{it} + \gamma' \cdot Z + a_p + \varepsilon_{ipt}$$

Each observation represents a fund’s vote on a proposal. p denotes the fund family and p denotes the proposal. The

(b) Concentration in the proxy advisory industry.

5.3 Figure 4 and Table 2: Advisor opposition and fund votes

Read: Figure 4: vote patterns under different recommendations

- When neither ISS nor Glass Lewis opposes management, support for management is near 98%.
- When ISS opposes management, support for management falls sharply.
- When Glass Lewis opposes management, support falls less sharply in the pooled sample.
- When both advisors oppose management, support for management is much lower.
- The customer-split panels show that advisor customers move more strongly with their own advisor.

Read: Table 2: subscription and vote choice

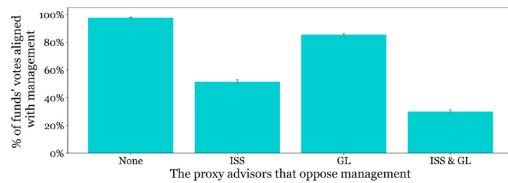
- In Panel A, ISS customers are 19 percentage points more likely to align with ISS when ISS opposes management.

- The ISS-customer coefficient is 20 percentage points for director elections, 19 for say-on-pay, 19 for management governance proposals, 15 for shareholder governance proposals, and 22 for ES proposals.
- In Panel B, Glass Lewis customers are 11 percentage points more likely to align with Glass Lewis when Glass Lewis opposes management.
- The Glass Lewis-customer coefficient is 13 percentage points for director elections, 17 for say-on-pay, 9 for management governance proposals, 4 for shareholder governance proposals, and 12 for ES proposals.

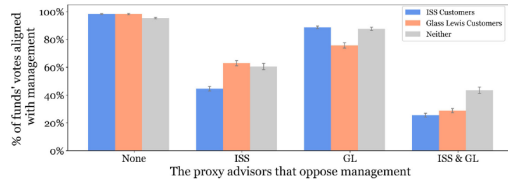
Economic message: Proxy advisor opposition to management is strongly associated with customer votes against management, even when the regression compares funds voting on the same proposal.

Bar indicating whether ISS or Glass Lewis recommends voting against management. Panel B categorizes funds based on their contractual relationships with ISS or Glass Lewis, as inferred from their prospectuses. Panel C conducts the same analysis as Panel B, excluding funds that subscribe to multiple proxy advisors. The horizontal axes in all panels show the names of proxy advisors that recommend voting against management. The height of each bar displays the percentage of mutual fund votes in support of management. The vertical ticks represent the 95% confidence interval, with standard errors clustered at the fund family-year level.

(A) All votes pooled



(B) Votes of proxy advisor customers



(C) Votes of proxy advisor customers, excluding funds with multiple advisors

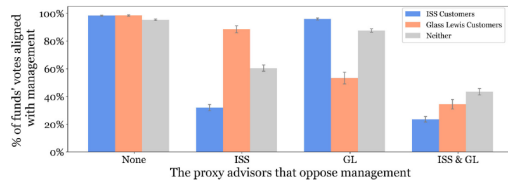


Fig. 4. Fund votes under different proxy advisor recommendations.

duration bias. This is because funds choosing different voting platforms are associated with how each fund votes.

(a) Fund votes under different proxy advisor recommendations.

Table 2
Relationship between proxy advice subscription and vote choice.
(A) Vote Alignment with ISS Recommendations

Sample: proposals that ISS opposes management						
Dependent variable = 1 if the vote is aligned with ISS recommendation						
	Management Proposals				Shareholder Proposals	
	All Proposals (1)	Director Elections (2)	Say on Pay (3)	Governance (4)	Governance (5)	E&S (6)
= 1 if prospectus mentions ISS	0.19*** (0.02)	0.20*** (0.02)	0.19*** (0.02)	0.19*** (0.02)	0.15*** (0.01)	0.22*** (0.02)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Proposal Fixed Effect	Yes	Yes	Yes	Yes	Yes	Yes
Adjusted R ²	0.14	0.10	0.13	0.18	0.13	0.15
Observations	1,808,824	993,466	173,496	29,382	196,361	62,395

(B) Vote Alignment with Glass Lewis Recommendations

Sample: proposals that Glass Lewis opposes management						
Dependent variable = 1 if the vote is aligned with Glass Lewis recommendation						
	Management Proposals				Shareholder Proposals	
	All Proposals (1)	Director Elections (2)	Say on Pay (3)	Governance (4)	Governance (5)	E&S (6)
= 1 if prospectus mentions GL	0.11*** (0.01)	0.13*** (0.01)	0.17*** (0.02)	0.09*** (0.02)	0.04*** (0.01)	0.12*** (0.02)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Proposal Fixed Effect	Yes	Yes	Yes	Yes	Yes	Yes
Adjusted R ²	0.37	0.31	0.31	0.41	0.20	0.33
Observations	977,273	551,630	126,908	6,172	141,373	23,053

Each column presents the OLS regression results for Equation (1), with each observation representing a fund vote. Column 1 includes votes on all proposals. In columns 2 to 6, proposals are first categorized based on their sponsors (either management or shareholders) and then classified by their types: uncontested director elections, say-on-pay, governance, and environmental and social (E&S) proposals. In Panel A (Panel B), the dependent variables are dummy variables that equal one if the fund vote aligns with the recommendation of ISS (Glass Lewis). The independent variables are dummy variables that equal one if the fund family is a customer of ISS or Glass Lewis, as inferred from its prospectuses. Panel A includes proposals that ISS opposes management, and Panel B includes proposals that Glass Lewis opposes management. All regressions include proposal fixed effects and controls for characteristics of fund families, as detailed in Online Appendix III.A. Standard errors are clustered at the fund family-year level. Significance levels are indicated by asterisks: *, **, and *** correspond to significance levels of 10%, 5%, and 1%, respectively.

(b) Relationship between subscription and vote choice.

5.4 Tables 3-4 and Figure 5: Voting platforms and switching

Read: Table 3: voting platform and vote choice

- The sample is funds that mention both ISS and Glass Lewis in their prospectuses.
- The sample includes proposals where ISS and Glass Lewis provide different recommendations.
- Using ISS's voting system raises alignment with ISS by 13 percentage points on management proposals and 12 percentage points on shareholder proposals.
- Using Glass Lewis's voting system lowers alignment with ISS by 19 and 12 percentage points, which means greater alignment with Glass Lewis.

Read: Table 4: platform switching

- Funds switching from ISS to Glass Lewis reduce agreement with ISS by 20 percentage points on management proposals and 14 on shareholder proposals.
- The same switch raises agreement with Glass Lewis by 26 percentage points on management proposals and 12 on shareholder proposals.
- Funds switching from Glass Lewis to ISS show the reverse pattern: agreement with ISS rises and agreement with Glass Lewis falls.

Read: Figure 5: event-study switching patterns

- Before the switch, switchers do not show a large difference in agreement with the new advisor.
- After the switch, agreement with the newly used advisor increases.
- The figure supports the idea that the execution platform itself affects voting behavior.

Economic message: Voting platforms are not neutral plumbing. The platform whose recommendations are embedded into the voting workflow appears to affect vote choice.

Table 3
Relationship between voting platforms and vote choice.

	Dependent variable = 1 if the vote is in the same direction as ISS recommendation	
	Management Proposals (1)	Shareholder Proposals (2)
= 1 if use ISS's voting system	0.13*** (0.02)	0.12*** (0.03)
= 1 if use GL's voting system	-0.19*** (0.04)	-0.12*** (0.03)
Fund Characteristics Controls	Yes	Yes
Proposal FE	Yes	Yes
Adjusted R ²	0.22	0.17
Observations	328,453	51,318

Each column represents an OLS regression, with each observation corresponding to a fund vote. The sample consists of votes from fund families that mention both ISS and Glass Lewis in their prospectuses. Proposals are categorized based on their sponsors (either management or shareholders), and only those for which ISS and Glass Lewis provide differing recommendations are included. The dependent variable is a dummy variable that equals one if the vote is cast in the same direction as ISS's recommendation. The independent variables are dummy variables that equal one if the fund family utilizes either ISS's or Glass Lewis's voting system, as identified through the format of its N-PX filings. All columns include proposal fixed effects and controls for fund-family characteristics, as detailed in Online Appendix III.A. Standard errors are clustered at the fund family-year level. Statistical significance is denoted by *, **, and *** at the 10%, 5%, and 1% levels, respectively.

(a) Voting platform and vote choice.

Table 4

Funds' voting patterns after switching voting platforms.

(A) Switch = 1 If The Fund Has Switched Voting System From ISS's to Glass Lewis's

	Management Proposals		Shareholder Proposals	
	(1) %Agree with ISS	(2) %Agree with GL	(3) %Agree with ISS	(4) %Agree with GL
SwitchxPost	-0.20** (0.09)	0.26*** (0.06)	-0.14** (0.07)	0.12** (0.06)
Fund Characteristics Controls	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
Fund Family FE	Yes	Yes	Yes	Yes
Observations	3,171	2,891	3,048	2,852

(B) Switch = 1 If The Fund Has Switched Voting System From Glass Lewis's to ISS's

	Management Proposals		Shareholder Proposals	
	(1) %Agree with ISS	(2) %Agree with GL	(3) %Agree with ISS	(4) %Agree with GL
SwitchxPost	0.18** (0.08)	-0.15** (0.07)	0.16** (0.08)	-0.07* (0.04)
Fund Characteristics Controls	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
Fund Family FE	Yes	Yes	Yes	Yes
Observations	3,171	2,891	3,048	2,852

This table presents OLS regression results for Equation (2), with each observation representing a fund family-year. In each column, the dependent variable is the proportion of votes by the fund family in the year that align with the recommendations of a proxy advisor when the advisor opposes management. In Panel A, the independent variable "Switch" is a dummy variable indicating whether the fund has changed its voting platform from ISS to Glass Lewis, while "Post" is a dummy variable indicating whether the year is after the switch. Panel B is constructed similarly, for funds switching from Glass Lewis to ISS. Proposals are categorized based on their sponsors (either management or shareholders). All columns include year and fund-family fixed effects, and control for fund-family characteristics as detailed in Online Appendix III.A. Standard errors are clustered at the fund-family level. *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

Results indicate that among investors subscribing to Glass Lewis for proxy advice, those using ISS's voting platform are 18 percentage points more likely to vote in line with management when the two advisors disagree, depending on

whether the year is after the switch. Funds that have changed voting platforms multiple times are excluded from the baseline support by investors for the proposals where management is already over 95 percent

(b) Voting patterns after switching platforms.

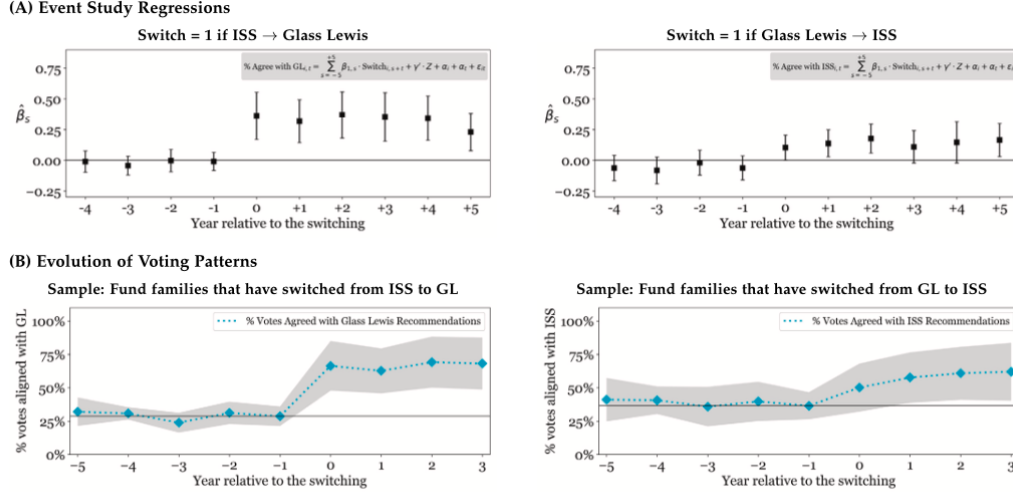


Fig. 5. Evolution of voting patterns when switching voting platforms.

Evolution of voting patterns when switching voting platforms.

5.5 Tables 5-6 and Figure 6: Robo-voting

Read: Definition of robo-voting

- An ISS robo-voter is a fund family for which more than 99.9% of votes align with ISS recommendations.
- It must also align with ISS more than 99.9% of the time when ISS opposes management.
- Glass Lewis and management robo-voters are defined analogously.
- The fund family must vote on more than 100 proposals.

Read: Table 5: prevalence

- In 2007, 4% of the full sample robo-votes with ISS, 0% with Glass Lewis, and 1% with management.
- In 2021, 11% robo-votes with ISS, 1% with Glass Lewis, and 3% with management.
- Among ISS-only customers, ISS robo-voting rises from 7% in 2007 to 23% in 2021.
- Among Glass Lewis-only customers, Glass Lewis robo-voting rises from 0% to 9%.
- The total net assets managed by robo-voters increase from \$18.6 billion in 2007 to \$427.6 billion in 2021.

Read: Table 6: characteristics

- ISS robo-voters are more likely to be smaller fund families and more likely to hold index fund assets.
- A higher share of ESG assets is associated with less robo-voting.
- Using ISS's voting system is associated with an 11 percentage point higher probability of ISS robo-voting.
- Using Glass Lewis's voting system is associated with a 3 percentage point higher probability of Glass Lewis robo-voting.

Read: Figure 6: trends

- Robo-voting becomes more common over time.
- The trend is visible both in counts of investors and in assets managed by robo-voters.
- The figure separates ISS, Glass Lewis, and management robo-voting.

Economic message: Robo-voting is not just a theoretical concern. It is measurable, increasing, and linked to voting platforms and index-fund business models.

Table 5
Prevalence of robo-voting.

	% of investors that robo-vote with ISS	% of investors that robo-vote with Glass Lewis	% of investors that robo-vote with management	Total net assets of robo-voters (billion dollars)
Year: 2007				
Full sample	4%	0%	1%	18.6
Subscribing to ISS only	7%	0%	0%	16.1
Subscribing to Glass Lewis only	0%	0%	0%	0
Subscribing to both	0%	0%	0%	0
Subscribing to neither	0%	0%	7%	2.5
Year: 2021				
Full sample	11%	1%	3%	427.6
Subscribing to ISS only	23%	0%	2%	262.6
Subscribing to Glass Lewis only	0%	9%	0%	114.8
Subscribing to both	6%	1%	0%	37.3
Subscribing to neither	0%	0%	11%	12.9

This table displays the prevalence of fund families that engage in robo-voting with the recommendations of ISS, Glass Lewis, and management in 2007 and 2021. I characterize an investor as an ISS robo-voter if it meets two criteria: (i) over 99.9% of its votes align with ISS recommendations, and (ii) over 99.9% of its votes on proposals where ISS opposes management also align with ISS recommendations. Glass Lewis and management robo-voters are defined similarly. Fund families are categorized in each row based on their proxy advisors. A fund is considered a proxy advice customer if its N-PX format or prospectus identifies it as such. The first three columns display the proportion of proxy advisor customers that are identified as ISS, Glass Lewis, or management robo-voters. The last column displays the combined total net assets of the robo-voters.

Table 6

Table 6
Characteristics of robo-voters.

(A) Characteristics of robo-voters and non-robo-voters

	Fund family characteristics						Voting platforms		
	Assets (trillions)	% Assets in index funds	% Assets in ESG funds	% Assets in intl. funds	Mgmt. fee	Turnover ratio	Using ISS's	Using GL's	Using BR's
ISS robo-voters	5.9	17%	0.0%	45%	0.7	0.8	81%	0%	11%
Glass Lewis robo-voters	20.6	10%	0.0%	57%	0.7	0.8	0%	50%	21%
Management robo-voters	1.7	13%	0.0%	35%	0.7	0.9	4%	0%	57%
Non-robo-voters	84.9	13%	1.1%	49%	0.6	0.7	52%	8%	25%

(B) Relationship Between Probability of Robo-voting and Fund Family Characteristics

	Dependent variable = 1 if robo-vote with ISS (1)	Dependent variable = 1 if robo-vote with GL (2)	Dependent variable = 1 if robo-vote with Mgmt (3)
Total net assets (log)	-0.03*** (0.00)	-0.00 (0.00)	-0.01*** (0.00)
% Assets in index funds	0.06** (0.03)	-0.00 (0.01)	0.03** (0.01)
% Assets in ESG funds	-0.23*** (0.02)	-0.03*** (0.01)	-0.04*** (0.01)
= 1 if use ISS's voting system	0.11*** (0.01)	-0.00 (0.00)	-0.06*** (0.01)
= 1 if use Glass Lewis's voting system	-0.02 (0.01)	0.03** (0.01)	-0.06*** (0.01)
Year FE	Yes	Yes	Yes
Adjusted R ²	0.13	0.03	0.10
Observations	1,912	1,145	3,344

Panel A compares the characteristics of robo-voters with those of other investors who do not engage in robo-voting. The definitions of these characteristics are detailed in Online Appendix III.A. The table's last three columns display the fractions of robo-voters using three different voting systems. Each row categorizes investors as either ISS robo-voters, Glass Lewis robo-voters, management robo-voters, or non-robo-voters. Panel B presents OLS regression results, with each observation representing a fund family-year. The sample in Column 1 (Column 2) includes funds that mention a contractual relationship with ISS (Glass Lewis) in their prospectuses, while Column 3 includes the entire sample of funds. All columns include year fixed effects. Statistical significance is denoted by *, **, and *** at the 10%, 5%, and 1% levels, respectively.

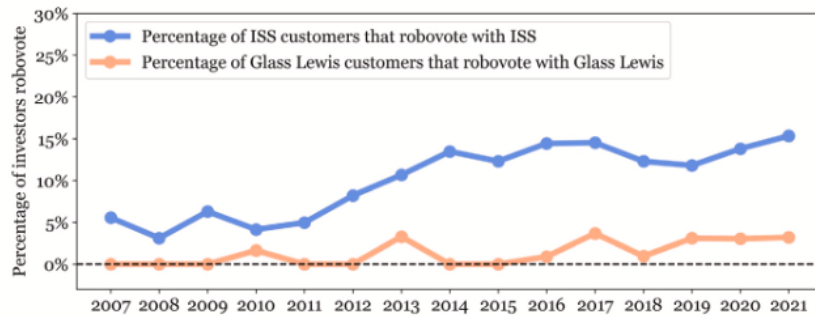
if investors who robo-vote. This is because robo-voters fewer assets. Nevertheless, within my sample years, I 100 director elections in which ISS robo-voters collected percent of the company's outstanding shares. In 66 voters are actually pivotal as the election outcomes

So who are these robo-voters? In Panel A of Table 6, I compare characteristics of robo-voters with those of other investors that engage in robo-voting. The results indicate that robo-voters are typically smaller in size, hold a larger proportion of assets in index products, and are less likely to offer ESG funds. Panel B presents the results

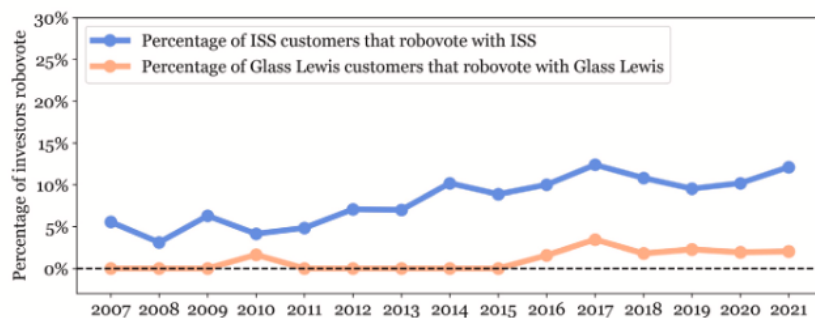
(a) Prevalence of robo-voting.

(b) Characteristics of robo-voters.

(A) Percentage of proxy advisor customers that robo-vote



(B) Percentage of proxy advisor customers that robo-vote (sample: investors existed pre-2010)



(C) Percentage of proxy advisor customers' assets that robo-vote

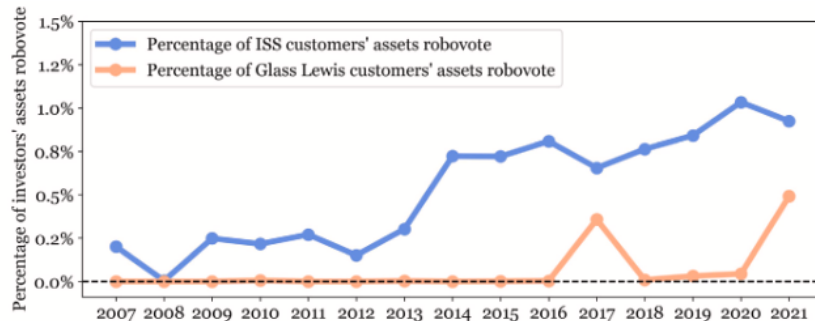


Fig. 6. Prevalence of robo-voting.

Prevalence of robo-voting over time.

5.6 Tables 7-9: Investor disagreement and changes in proxy advice

Read: Table 7: disagreement predicts recommendation changes

- For ISS, a 10 percentage point increase in past investor disagreement predicts a 4.8 percentage point higher likelihood of changing a director-election recommendation.
- For ISS, the coefficients are also positive for say-on-pay, other management proposals, shareholder proposals, and governance issues.
- For Glass Lewis, the corresponding director-election coefficient is 0.46; other management proposals have a coefficient of 0.57.

- At the broad issue level, both advisors' governance support shifts with prior disagreement. Glass Lewis also shifts more on ES issues.

Read: Table 8: own-customer disagreement matters more

- For ISS, disagreement by ISS customers predicts recommendation changes more strongly than disagreement by Glass Lewis customers.
- For Glass Lewis, disagreement by Glass Lewis customers predicts changes more strongly than disagreement by ISS customers.
- The own-customer pattern holds at both the specific proposal level and the issue level.

Read: Table 9: larger funds, blockholders, and strong preferences

- Larger funds' disagreement matters more than smaller funds' disagreement.
- Blockholder disagreement matters more than non-blockholder disagreement, after matching on size.
- Investors with strong ideological preferences matter more than investors with weak preferences.
- These patterns are present for both ISS and Glass Lewis.

Economic message: Proxy advisors are not only influencing votes; they also appear to update advice in response to investors. The evidence is consistent with both information acquisition from better-informed investors and preference alignment with important customers.

Table 7
Change of recommendations by proxy advisors.
(A) Change of Recommendations by ISS

	Analysis at the specific proposal level				Analysis at the issue level	
	Director Elections (1)	Say-on-Pay Proposals (2)	Other Mgmt Proposals (3)	Shareholder Proposals (4)	Governance Proposals (5)	E&S Proposals (6)
% investors' past votes disagreed with ISS	0.48*** (0.01)	0.88*** (0.02)	0.24*** (0.03)	0.14*** (0.05)	0.18*** (0.06)	-0.08 (0.10)
Firm×Issue FE	Yes	Yes	Yes	Yes		
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Adjusted R ²	0.27	0.27	0.20	0.04	0.03	-0.00
Observations	228,878	25,991	10,596	1,628	242	139

In both panels, Columns 1-4 present the OLS regression results for Equation (3). Each observation corresponds to a proposal at a specific company in a given year. Proposals are categorized based on their types: director elections, say-on-pay, other management proposals, and shareholder proposals. In these four columns, the dependent variables are dummy variables that equal one if the proxy advisor (ISS in Panel A and Glass Lewis in Panel B) supports/opposes the proposal in the current year and opposed/supported the same proposal in its last occurrence. The independent variable represents the proportion of mutual funds' votes that differed from the proxy advisor's recommendation in the previous appearance of the proposal. Standard errors are clustered at the company level. Columns 5-6 display the OLS regression results for Equation (4), with each observation representing a broad issue in a specific year (e.g., declassify board in 2021). Issues are categorized based on whether they pertain to governance or E&S. In these columns, the dependent variable is the absolute value of the change in support for the issue by the proxy advisor (ISS in Panel A and Glass Lewis in Panel B), comparing the current and previous years. The independent variable represents the proportion of mutual funds' past votes that differed from recommendations on this specific issue in the preceding year. In both panels, statistical significance is indicated by *, **, and *** at the 10%, 5%, and 1% levels, respectively.

(a) Changes in recommendations by proxy advisors.

Table 8
Change of recommendations and disagreement from customers.
(A) Change of Recommendations by ISS

	Analysis at the specific proposal level (1)	Analysis at the issue level (2)
% ISS customers' past votes disagreed with ISS recommendations	0.43*** (0.26)	0.80*** (0.25)
% GL customers' past votes disagreed with ISS recommendations	0.20*** (0.19)	-0.49*** (0.18)
$\hat{\beta}_1 - \hat{\beta}_2$	0.23***	1.29***
F-statistics	38.44	8.47
Adjusted R ²	0.28	0.01
Observations	286,975	668

	Analysis at the specific proposal level (1)	Analysis at the issue level (2)
% ISS customers' past votes disagreed with GL recommendations	-0.11*** (0.04)	-0.00 (0.10)
% GL customers' past votes disagreed with GL recommendations	0.63*** (0.05)	0.33** (0.13)
$\hat{\beta}_1 - \hat{\beta}_2$	-0.74***	-0.33*
F-statistics	71.93	3.29
Adjusted R ²	0.30	0.09
Observations	93,091	515

In both panels, Column 1 presents the OLS regression results for Equation (3), with each observation corresponding to a proposal at a specific company in a given year. The dependent variable is a dummy variable that equals one if the proxy advisor (ISS in Panel A and Glass Lewis in Panel B) changes its recommendation between the current proposal and its last occurrence. The independent variables represent the percentage of votes from ISS customers or Glass customers that differed from the proxy advisor's previous recommendation for the proposal. A fund is considered an ISS or Glass Lewis customer if its prospectus discloses a contractual relationship with the proxy advisor. All columns include firm×issue and year fixed effects. Standard errors are clustered at the company level. Column 2 in both panels displays the OLS regression results for Equation (4), with each observation corresponding to a broad issue in a given year. The dependent variable is the absolute value of the change in the proxy advisor's (ISS in Panel A and Glass Lewis in Panel B) support for the issue, comparing the current and previous years. The independent variables are the percentage of ISS customers' or Glass customers' past votes that differed from recommendations on this specific issue in

(b) Changes and disagreement from customers.

Table 9
Family sizes, blockholders, and voting preferences.
(A) Change of Recommendations by ISS

	Group A: larger funds Group B: smaller funds (1)	Group A: blockholders Group B: non-blockholders (2)	Group A: strong preferences Group B: weak preferences (3)
% Group A investors' past votes disagreed with ISS	0.38*** (0.01)	0.32*** (0.03)	0.40*** (0.01)
% Group B investors' past votes disagreed with ISS	0.10*** (0.01)	0.10*** (0.02)	0.19*** (0.01)
$\hat{\beta}_1 - \hat{\beta}_2$	0.27***	0.23***	0.21***
F-statistics	147.9	46.3	107.3
Adjusted R^2	0.23	0.33	0.24
Observations	287,601	17,638	235,883
(B) Change of Recommendations by Glass Lewis			
	Group A: larger funds Group B: smaller funds (1)	Group A: blockholders Group B: non-blockholders (2)	Group A: strong preferences Group B: weak preferences (3)
% Group A investors' past votes disagreed with GL	0.41*** (0.03)	0.36*** (0.04)	0.44*** (0.02)
% Group B investors' past votes disagreed with GL	0.05 (0.03)	0.10*** (0.03)	0.01 (0.02)
$\hat{\beta}_1 - \hat{\beta}_2$	0.36***	0.26***	0.43***
F-statistics	28.6	19.6	111.8
Adjusted R^2	0.26	0.33	0.26
Observations	89,638	5,207	89,473

Each column presents the OLS regression results for Equation (3), with each observation corresponding to a proposal at a specific company in a given year. The dependent variables are dummy variables that equal one if the proxy advisor (ISS in Panel A and Glass Lewis in Panel B) changes its recommendation between the current proposal and its last occurrence. The independent variables represent the proportion of votes from different investors that differed from the proxy advisor's prior recommendation for the proposal. Column 1 divides investors based on whether the total net assets of their fund family exceed the median of all fund families voting on the same proposal. Column 2 categorizes investors by whether the fund family is a blockholder, defined as holding more than 5 percent of the company's outstanding shares. To control for fund sizes, each vote from a blockholder is matched with a vote from a non-blockholder with the closest total net assets voting on the same proposal. Column 3 classifies investors based on their voting preferences, defined as strong if their W-NOMINATE score is either below the 25th percentile or above the

Family sizes, blockholders, and voting preferences.

6 Section-by-section walkthrough

6.1 Section 1: Introduction

- The paper starts from the classic free-rider problem in corporate voting: diversified investors have limited incentives to analyze every proposal.
- Proxy advisors solve part of this problem by collecting information and generating voting recommendations at scale.
- But scale also creates market concentration. In practice, ISS and Glass Lewis dominate the industry.
- The paper emphasizes that little is known about the industry because researchers usually do not know which funds use which advisors.
- The author develops a new mapping from mutual funds to proxy advisors and then uses it to study concentration, voting influence, robo-voting, and advisor adaptation.

Interpretation: The introduction frames proxy advisors as both useful information intermediaries and potentially powerful agenda setters. The empirical task is to measure both sides.

6.2 Section 2: Method to link mutual funds to proxy advisors

- Section 2 explains the two measurement innovations.
- The first is the N-PX formatting method. Because voting platforms file N-PX forms for funds, each platform creates recognizable table formats.
- The second is the prospectus method. Because funds disclose important proxy voting arrangements, prospectuses can reveal subscriptions to ISS, Glass Lewis, Egan-Jones, or multiple advisors.
- Section 2 also discusses limitations: N-PX identifies platforms, not every advisor; prospectuses can be vague or incomplete.
- The section then uses the data to describe market concentration. ISS remains large, Glass Lewis grows, and multi-advisor subscriptions expand sharply.

Interpretation: Section 2 is the paper’s foundation. Without this measurement step, none of the later analyses linking proxy advisors to votes or feedback could be run.

6.3 Section 3: Do customers of proxy advisors vote differently?

- Section 3 first studies whether customers of ISS or Glass Lewis are more likely to follow that advisor when the advisor opposes management.
- The proposal fixed effect design compares funds voting on the same proposal, which addresses the concern that the advisor and investor simply observed the same fundamentals.
- The paper then separates subscriptions from platform usage. Funds that subscribe to both advisors but use different platforms vote differently.
- Switching analyses show that votes shift toward the newly used platform after a platform change.
- Finally, the paper studies robo-voting, using strict 99.9% alignment thresholds.

Interpretation: Section 3 supports a layered view of influence: advice matters, voting platform choice matters, and in some cases platform use turns into near-mechanical voting.

6.4 Section 4: How do proxy advisors develop recommendations?

- Section 4 asks whether proxy advisors are influenced by investors.
- The paper tests whether disagreement with a prior recommendation predicts a change in the future recommendation.
- It separately considers specific recurring proposals and broader issue-level guideline changes.
- The paper then compares disagreement by customers versus non-customers, larger versus smaller investors, blockholders versus non-blockholders, and strong-preference versus weak-preference investors.
- The findings suggest both learning from better-informed investors and catering to customers’ preferences.

Interpretation: Section 4 changes the direction of causality in the story. Proxy advisors do not only shape votes; investor votes help shape future proxy advisor policies.

6.5 Section 5: Conclusion

- The conclusion emphasizes the measurement contribution: regulatory filings can identify voting platforms and advisor relationships.

- The paper confirms a concentrated proxy advisory market dominated by ISS and Glass Lewis.
- It documents that customer votes are strongly associated with advisor recommendations.
- It shows that robo-voting is increasing and related to voting platforms.
- It highlights feedback from investors to proxy advisor recommendations.

Interpretation: The final message is that policy debates should consider both the influence of proxy advisors on investors and the influence of investors on proxy advisors.

7 Short summary

- The paper studies the proxy advisory industry using newly inferred links between mutual funds and proxy advisors.
- The data cover 2007-2021 and roughly 140 million mutual fund votes.
- N-PX formats reveal voting platform providers: ISS ProxyExchange, Glass Lewis Viewpoint, Broadridge ProxyEdge, or other.
- Prospectuses reveal contractual relationships with ISS, Glass Lewis, Egan-Jones, multiple advisors, or none.
- ISS and Glass Lewis collectively dominate the mutual fund proxy advice market.
- Glass Lewis grows significantly over the sample period; ISS remains large and stable.
- When ISS opposes management, ISS customers are about 19 percentage points more likely to align with ISS.
- When Glass Lewis opposes management, Glass Lewis customers are about 11 percentage points more likely to align with Glass Lewis.
- Funds that subscribe to both advisors vote more like the advisor whose platform they use.
- Funds that switch voting platforms shift their voting patterns toward the new platform.
- Robo-voting increases from 2007 to 2021 and is especially common among smaller and index-oriented fund families.
- Proxy advisors are more likely to change recommendations after investors previously disagreed with them.
- Own-customer disagreement matters more than other-customer disagreement.
- Larger funds, blockholders, and strong-preference investors have more predictive disagreement.
- The results are consistent with both proxy advisor influence and investor feedback into proxy advisor recommendations.

8 Conclusion

8.1 Core conclusion

Shu shows that proxy advisors play a major role in mutual fund voting and that the industry is highly concentrated. The paper’s main empirical innovation is to identify proxy advisor relationships from N-PX filing formats and statutory prospectuses. Once those links are constructed, the evidence shows that customers of ISS and Glass Lewis vote more like their advisors, that voting platforms are associated with vote choices, and that robo-voting has become more prevalent.

8.2 Economic intuition

Proxy advisors reduce the cost of informed voting, but they also create dependence. Because voting platforms can pre-populate or simplify execution of recommendations, the platform itself may influence how investors vote. At the same time, proxy advisors are profit-seeking intermediaries. Their recommendations can evolve when customers and other investors reveal disagreement through their votes.

8.3 Takeaway

The proxy advisory industry should not be viewed only as a one-way source of influence. Proxy advisors influence investors, especially through recommendations and voting platforms. But investors also influence proxy advisors, especially when large, informed, or preference-intense investors disagree with prior advice. The industry is therefore a feedback system connecting information production, voting technology, and institutional investor preferences.